

EQUITY: BASIC MATERIALS

1H26 delivered a slight beat; new business on track

Maintain Buy with a lower TP of HKD26

Solid 2Q26 results supported by a strong ASP trend

JL Mag has reported its 1H26 results, with revenue rising +33% y-y to CNY4.65bn (2Q26 revenue was up +49% y-y or +28% q-q to CNY2.61bn), which we attribute to increased volumes and ASP. Net income grew 52% y-y to CNY462mn in 1H26, beating the high end of the company's profit alert range of CNY400-460mn. 2Q26 earnings grew 87% y-y or 40% q-q to CNY269mn, with net margin expanding 2.1pp y-y or 0.8pp q-q to 10.3%. GPM was largely stable q-q at 21.6% in 2Q26, compared to 21.8% in 1Q26. Segment-wise, NEV and auto parts revenue grew 33% y-y to CNY2.23bn in 1H26, representing 56% of JL Mag's total sales. Robot and industrial motor revenue grew 96% y-y to CNY261mn, emerging as the third-largest revenue contributor (7% of total sales) in 1H26.

Contract award for rotor component of humanoid robots

The company announced that JL Mag has been selected by a key customer as the supplier for its humanoid robot motor rotor project, and that it is preparing for mass production in accordance with the customer's project schedule. We expect JL Mag to ship from its domestic facility in the near term, with potential for localized production in the future in the Mexican plant if requested by the customer. We expect the humanoid robot sector to emerge as the key growth driver for JL Mag over 2028-30F.

Stable GPM with normalized inventory cycle

GPM remained stable in 1H26 at 21-22%, above management's long-term GPM guidance of 20%. We expect the company to sustain the current GPM level in 2H26F, owing to limited volatility in upstream prices and its efforts to optimize revenue mix. On the other hand, management indicated that the company has been maintaining a stable inventory turnover of one month for raw materials without holding any strategic reserve so far.

Action: maintain Buy; lower TP to HKD26, implying 51% upside

We slightly trim our FY26-28F earnings by 1.5-3.1%, mainly to reflect potentially weaker-than-expected demand from energy-saving VFACs (variable-frequency air-conditioners) and a higher effective tax rate. We reiterate our Buy rating with a lower TP of HKD26 (vs HKD27 previously), based on unchanged 25x FY27F EPS of CNY0.90. The stock is trading at 18x FY27F P/E.

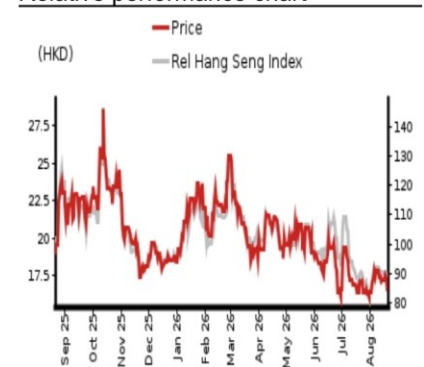
Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	7,718	10,384	10,202	12,665	12,515	15,247	15,011
Reported net profit (mn)	706	970	956	1,274	1,243	1,636	1,585
Normalised net profit (mn)	706	970	956	1,274	1,243	1,636	1,585
FD normalised EPS	51.36c	70.51c	69.46c	92.61c	90.38c	1.19	1.15
FD norm. EPS growth (%)	139.7	37.3	35.3	31.3	30.1	28.4	27.5
FD normalised P/E (x)	30.9	—	22.9	—	17.6	—	13.8
EV/EBITDA (x)	21.3	—	14.6	—	11.6	—	9.2
Price/book (x)	2.8	—	2.6	—	2.4	—	2.1
Dividend yield (%)	1.1	—	1.5	—	2.0	—	2.5
ROE (%)	9.7	12.3	12.1	14.8	14.5	17.1	16.7
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Reduced from HKD 27.00	HKD 26.00
Closing price 21 August 2026	HKD 17.24
Implied upside	+50.8%

Market Cap (USD mn)	3,024.8
ADT (USD mn)	10.9

Relative performance chart



Source: LSEG, Nomura

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Key data on JL Mag Rare-Earth

Performance

(%)	1M	3M	12M		
Absolute (HKD)	0.8	-9.8	-9.4	M cap (USDmn)	3,024.8
Absolute (USD)	0.8	-9.9	-9.7	Free float (%)	82.2
Rel to Hang Seng Index	-1.4	-11.0	-11.7	3-mth ADT (USDmn)	10.9

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	6,763	7,718	10,202	12,515	15,011
Cost of goods sold	-6,011	-6,083	-8,070	-9,857	-11,718
Gross profit	753	1,634	2,133	2,658	3,293
SG&A	-474	-855	-987	-1,186	-1,423
Employee share expense					
Operating profit	279	779	1,145	1,471	1,870
EBITDA	437	996	1,417	1,758	2,170
Depreciation	-158	-217	-272	-287	-300
Amortisation					
EBIT	279	779	1,145	1,471	1,870
Net interest expense	-47	-82	-113	-113	-113
Associates & JCEs					
Other income	83	92	101	117	123
Earnings before tax	315	789	1,133	1,475	1,880
Income tax	-21	-62	-169	-220	-280
Net profit after tax	294	727	965	1,255	1,600
Minority interests	-3	-21	-9	-12	-15
Other items					
Preferred dividends					
Normalised NPAT	291	706	956	1,243	1,585
Extraordinary items					
Reported NPAT	291	706	956	1,243	1,585
Dividends	-271	-248	-335	-436	-556
Transfer to reserves	20	458	620	807	1,029

Valuations and ratios

Reported P/E (x)	74.3	30.9	22.9	17.6	13.8
Normalised P/E (x)	74.3	30.9	22.9	17.6	13.8
FD normalised P/E (x)	74.3	30.9	22.9	17.6	13.8
Dividend yield (%)	1.2	1.1	1.5	2.0	2.5
Price/cashflow (x)	42.5	61.8	16.1	18.1	14.3
Price/book (x)	3.2	2.8	2.6	2.4	2.1
EV/EBITDA (x)	47.3	21.3	14.6	11.6	9.2
EV/EBIT (x)	74.1	27.3	18.1	13.9	10.7
Gross margin (%)	11.1	21.2	20.9	21.2	21.9
EBITDA margin (%)	6.5	12.9	13.9	14.0	14.5
EBIT margin (%)	4.1	10.1	11.2	11.8	12.5
Net margin (%)	4.3	9.1	9.4	9.9	10.6
Effective tax rate (%)	6.6	7.9	14.9	14.9	14.9
Dividend payout (%)	93.0	35.1	35.1	35.1	35.1
ROE (%)	4.1	9.7	12.1	14.5	16.7
ROA (pretax %)	3.2	7.2	9.2	10.6	12.0

Growth (%)

Revenue	1.1	14.1	32.2	22.7	19.9
EBITDA	-37.4	128.2	42.2	24.1	23.4
Normalised EPS	-49.0	139.7	35.3	30.1	27.5
Normalised FDEPS	-49.0	139.7	35.3	30.1	27.5

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	437	996	1,417	1,758	2,170
Change in working capital	-102	-1,837	31	-425	-466
Other operating cashflow	173	1,193	-89	-123	-175
Cashflow from operations	508	353	1,359	1,209	1,529
Capital expenditure	-675	-466	-500	-550	-550
Free cashflow	-167	-113	859	659	979
Reduction in investments					
Net acquisitions					
Dec in other LT assets					
Inc in other LT liabilities					
Adjustments	-1,012	-364	0	0	0
CF after investing acts	-1,179	-477	859	659	979
Cash dividends	-498	-455	-335	-436	-556
Equity issue	198	86	0	0	0
Debt issue	397	2,147	0	0	0
Convertible debt issue					
Others	-90	-657	0	0	0
CF from financial acts	7	1,121	-335	-436	-556
Net cashflow	-1,173	643	524	223	423
Beginning cash	3,886	2,713	3,357	3,880	4,103
Ending cash	2,713	3,356	3,880	4,103	4,526
Ending net debt	-1,345	-726	-1,249	-1,473	-1,895

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	2,713	3,357	3,880	4,103	4,526
Marketable securities					
Accounts receivable	2,198	3,122	3,517	4,314	5,160
Inventories	2,178	2,777	3,286	4,014	4,759
Other current assets	603	1,541	1,541	1,541	1,541
Total current assets	7,692	10,797	12,225	13,973	15,987
LT investments					
Fixed assets	3,072	3,283	3,426	3,600	3,755
Goodwill	265	286	272	258	244
Other intangible assets	1,269	961	960	958	957
Other LT assets					
Total assets	12,297	15,327	16,883	18,789	20,943
Short-term debt	585	1,859	1,859	1,859	1,859
Accounts payable	3,456	4,029	4,964	6,064	7,189
Other current liabilities	46	97	97	97	97
Total current liabilities	4,086	5,985	6,921	8,020	9,145
Long-term debt	783	772	772	772	772
Convertible debt					
Other LT liabilities	311	886	886	886	886
Total liabilities	5,180	7,643	8,579	9,678	10,804
Minority interest	101	123	123	123	123
Preferred stock					
Common stock	7,016	7,560	8,181	8,988	10,016
Retained earnings					
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	7,016	7,560	8,181	8,988	10,016
Total equity & liabilities	12,297	15,327	16,883	18,789	20,943

Liquidity (x)

Current ratio	1.88	1.80	1.77	1.74	1.75
Interest cover	6.0	9.5	10.1	13.0	16.5

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	21.42c	51.36c	69.46c	90.38c	1.15
Norm EPS (CNY)	21.42c	51.36c	69.46c	90.38c	1.15
FD norm EPS (CNY)	21.42c	51.36c	69.46c	90.38c	1.15
BVPS (CNY)	5.11	5.50	5.95	6.53	7.28
DPS (CNY)	0.20	0.18	0.24	0.32	0.40

Activity (days)

Days receivable	119.9	125.8	118.7	114.2	115.5
Days inventory	133.3	148.7	137.1	135.2	137.0
Days payable	204.6	224.5	203.4	204.2	207.0
Cash cycle	48.6	49.9	52.5	45.2	45.5

Source: Company data, Nomura estimates

Company profile

JL Mag Rare-Earth Co Ltd is a global leading manufacturer of neodymium-iron-boron (NdFeB) permanent magnet materials. The company's products are widely used in new energy vehicles, energy-efficient variable-frequency air conditioners, wind power, robots and industrial servo motors, 3C, energy-saving elevators, and rail transit.

Valuation Methodology

Our TP of HKD26.00 is based on 25x FY27F EPS of CNY0.90, which is in line with the company's historical 12M forward trading P/E of 25x. The benchmark index is Hang Seng Index.

Risks that may impede the achievement of the target price

Downside risks to our investment thesis include: 1) lower-than-expected demand growth in NEVs, wind and VFAC sectors; 2) volatility of upstream prices with delayed ASP adjustment leading to fluctuation of gross margin profiles; 3) slower-than-expected commercialization of humanoid robots; 4) further tightening of China's rare earth export policies.

ESG

As one of the leading producers of rare earth permanent magnet materials, JL Mag is a key enabler for global electrification and energy-saving trends, as the company's products are widely used in electric vehicles, wind turbine generators, energy-saving air conditioners, etc.

Fig. 1: JL Mag – earnings forecast revisions

(CNY mn)	2024	2025	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
	A	A	(NOM)	(NOM)	(NOM)	(OLD)	(OLD)	(OLD)	Diff.	Diff.	Diff.
Revenue	6,763	7,718	10,202	12,515	15,011	10,384	12,665	15,247	-1.7%	-1.2%	-1.5%
% chg yoy	1%	14%	32%	23%	20%	35%	22%	20%			
COGS	(6,011)	(6,083)	(8,070)	(9,857)	(11,718)	(8,252)	(9,983)	(11,912)			
Gross Profit	753	1,634	2,133	2,658	3,293	2,132	2,682	3,335			
OPEX	(474)	(855)	(987)	(1,186)	(1,423)	(1,057)	(1,289)	(1,552)			
Operating Income (adjusted)	279	779	1,145	1,471	1,870	1,075	1,393	1,783	6.5%	5.6%	4.9%
% chg yoy	-50%	179%	47%	28%	27%	38%	30%	28%			
Finance Expense	(47)	(82)	(113)	(113)	(113)	(113)	(113)	(113)			
Other gains/expense	83	92	101	117	123	101	116	123			
Pretax income	315	789	1,133	1,475	1,880	1,063	1,396	1,793	6.6%	5.6%	4.8%
% chg yoy	-49%	151%	44%	30%	27%	35%	31%	28%			
Tax	(21)	(62)	(169)	(220)	(280)	(84)	(110)	(142)			
Minority interests	(3)	(21)	(9)	(12)	(15)	(9)	(12)	(15)			
Profit to shareholders	291	706	956	1,243	1,585	970	1,274	1,636	-1.5%	-2.4%	-3.1%
% chg yoy	-48%	142%	35%	30%	27%	37%	31%	28%			
EPS	0.21	0.51	0.69	0.90	1.15	0.71	0.93	1.19			
Ratio Analysis											
GPM	11.1%	21.2%	20.9%	21.2%	21.9%	20.5%	21.2%	21.9%	0.4pp	0.1pp	0.1pp
OPEX	7.0%	11.1%	9.7%	9.5%	9.5%	10.2%	10.2%	10.2%	-0.5pp	-0.7pp	-0.7pp
OPM	4.1%	10.1%	11.2%	11.8%	12.5%	10.4%	11.0%	11.7%	0.9pp	0.8pp	0.8pp
NPM	4.3%	9.1%	9.4%	9.9%	10.6%	9.3%	10.1%	10.7%	0.0pp	-0.1pp	-0.2pp

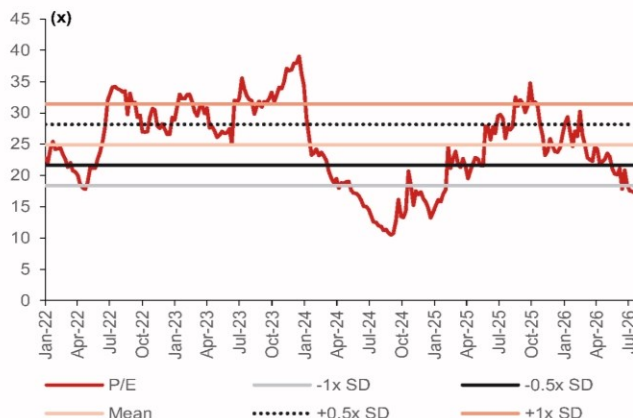
Source: Company data, Nomura estimates

Valuation methodology and risks

Our new TP of HKD26.00 is based on 25x FY27F EPS of CNY0.90, which is in line with the company's historical 12M forward trading P/E of 25x.

Downside risks to our investment thesis include: (1) lower-than-expected demand growth in NEVs, wind and VFAC sectors; (2) volatility of upstream prices with delayed ASP adjustment leading to fluctuating gross margin profiles; (3) slower-than-expected commercialization of humanoid robots; and (4) further tightening of China's rare earth export policies.

Fig. 2: JL Mag – 12M forward P/E band



Source: Bloomberg Finance L.P., company data, Nomura estimates

Fig. 3: JL Mag – 12M forward P/B band



Source: Bloomberg Finance L.P., company data, Nomura estimates

Appendix A-1

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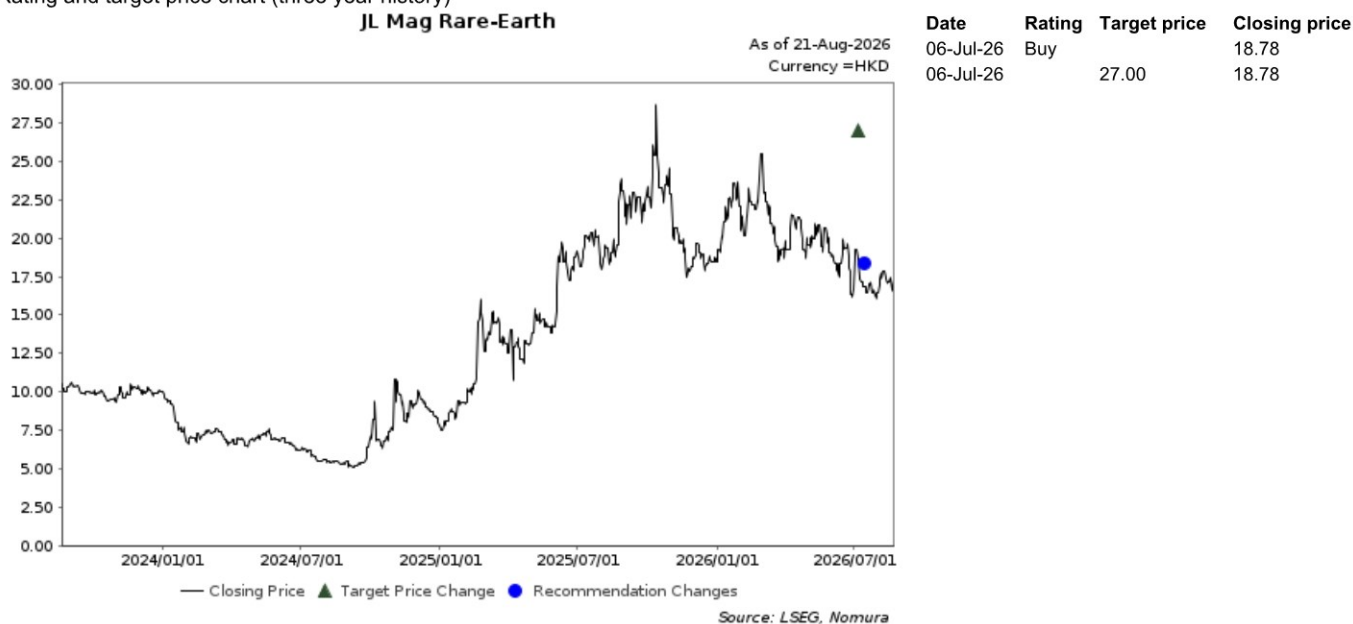
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
JL Mag Rare-Earth	6680 HK	HKD 17.24	21-Aug-2026	Buy	N/A	A11

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JL Mag Rare-Earth (6680 HK)

HKD 17.24 (21-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of HKD26.00 is based on 25x FY27F EPS of CNY0.90, which is in line with the company's historical 12M forward trading P/E of 25x. The benchmark index is Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks to our investment thesis include: 1) lower-than-expected demand growth in NEVs, wind and VFAC sectors; 2) volatility of upstream prices with delayed ASP adjustment leading to fluctuation of gross margin profiles; 3) slower-than-expected commercialization of humanoid robots; 4) further tightening of China's rare earth export policies.

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As at 30 June 2026.

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** As defined by the EU Market Abuse Regulation

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STOCKS

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